



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/DGBA/2026-27/400

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April 30, 2026

**Reserve Bank of India [Conduct of Government Business by Agency Banks (ABs)
– Payment of Agency Commission and Oversight of ABs] Directions, 2026**

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In terms of Sections 20, 21 and 21A of the Reserve Bank of India Act, 1934, the Reserve Bank of India (hereinafter referred to as 'RBI' or 'Reserve Bank') acts as banker to the Central and State Governments. RBI carries out the general banking business of the Central and State Governments through its own offices and through the offices of the Agency Banks appointed under Section 45 of the Reserve Bank of India Act, 1934, by mutual Agreement, having regard to public interest and convenience of banking development. The Reserve Bank, in its role as banker to the Central Government and State Governments, hereby issues the following instructions/directions, to the Agency Banks, for the seamless conduct of Government business.

Chapter I: Preliminary

A. Short Title and Commencement

1. These Directions shall be called the RBI [Conduct of Government Business by Agency Banks (ABs) – Payment of Agency Commission and Oversight of ABs] Directions, 2026.
2. These Directions shall come into effect immediately upon its issuance, unless indicated otherwise.

B. Applicability

3. These Directions shall be applicable to ABs.

C. Definitions

4. In these Directions, unless the context states otherwise, the terms herein shall bear the meanings assigned to them as below:

- (a) 'ABs' means all Public Sector Banks (PSBs), scheduled Private Sector Banks (PVBs), scheduled Payments Banks (PBs), and scheduled Small Finance Banks (SFBs) appointed by RBI under Section 45 of the RBI, Act, 1934, by mutual agreement, to carry out Government Banking business of Central Government (CG) / State Governments (SGs).
- (b) 'Agency Commission' means the remuneration paid by the RBI to an AB in consideration of it acting as an agent of the RBI in conduct of general banking

business of the CG and the SGs at the places and in the manner specified in the agreement entered between RBI and the bank, with the exception of the functions relating to the management of the public debt.

- (c) 'Prefunded scheme' means an arrangement where funds are paid in advance by Government to the AB to cover future liability, obligation or settlement.
- (d) 'Scrolls' means 'payment scroll' or 'receipt scroll':
- (da) 'Payment scroll' means a physical or electronic statement submitted by an AB that lists the payments made and claimed from the Government account at the RBI for a Ministry or Department on a given date, used for accounting and reconciliation.
- (db) 'Receipt scroll' means a physical or electronic statement submitted by an AB that lists the receipts collected and remitted to the Government account at the RBI for a Ministry or Department on a given date, used for accounting and reconciliation.
- (e) 'Luggage file' means an electronic form of file in 'eXtensible Markup Language (XML)' format reported by banks to RBI containing details of the transactions.

5. All other expressions, unless defined herein, shall have the same meaning as have been assigned to them under the applicable Acts, Rules/ Regulations made thereunder, or any Statutory modification or re-enactment thereto, or Glossary of terms published by RBI as used in common or commercial parlance, as the case may be.

Chapter II: Agency Business Arrangement - Appointment of ABs

6. All PSBs are eligible to conduct Government business as agents of RBI. With effect from February 22, 2003, RBI authorized four PVBs for conduct of Government business (including SG business). With effect from January 31, 2012, all scheduled PVBs were made eligible to conduct any CG / SG business (where RBI pays agency commission) at par with PSBs. Further, with effect from December 15, 2021, it was decided, in consultation with the Department of Financial Services (DFS), Ministry of Finance (MoF), Government of India (GoI), to also make scheduled PBs and scheduled SFBs eligible to conduct Government business. Currently, all PSBs, scheduled PVBs, scheduled PBs and scheduled SFBs are eligible to conduct Government business as agents of RBI. The list of ABs is given in **Annex 1**.

7. Any eligible bank which intends to handle Government business will be appointed as an AB upon execution of an agreement with RBI. The guidelines/ framework for authorising an eligible bank as an AB are as follows:

7.1 For CG / Union Territory (UT) business: The respective Civil/ Non-Civil Ministry/ Department will work out a proposal with the applicant bank and forward the same to the Office of the Controller General of Accounts (CGA) for examination. The CGA, in turn, will forward its recommendation on the proposal to the Department of Government and Bank Accounts (DGBA), Central Office (CO), RBI. RBI will examine the proposal and, if found eligible, formally appoint the applicant bank as an AB, on execution of an agreement.

7.2 For SG business: The respective department of the SG will work out a proposal with the applicant bank and forward the same to the Finance Department of the SG for examination. The Finance Department of the SG, in turn, will forward its recommendation on the proposal to the respective Regional Office (RO) of the RBI. Thereafter, RO will examine the proposal and forward the same with its comments to DGBA, which will examine the proposal and, if found eligible, formally appoint the applicant bank as an AB, on execution of an agreement.

7.3 Any approval for authorising an AB for CG / UT / SG business, will be subject to the condition that the applicant bank is placed under neither Prompt Corrective Action (PCA) framework nor moratorium at the time of making the application/signing of the agreement with RBI.

8. Accreditation of an AB for Government business:

8.1 The choice of accrediting an AB for any particular Government business rests solely with the respective CG department / UT / SG. The process for accreditation of an AB would be same as elaborated in Para 7.1 (for CG / UT business) and Para 7.2 (for SG business), respectively. Further, CG / UTs / SGs have the option to discontinue the accreditation after giving notice to the AB concerned, keeping RBI informed.

8.2 Once RBI authorises a bank for transacting any Government business, no further approval is required with regard to either mode (physical or e-mode) or area of operations. These will be decided by the Office of CGA (for CG / UT) or the Finance Department of the SG (for SGs), as applicable, keeping RBI informed.

9. Performance of the ABs, on a matrix of various Government initiatives and schemes, will be reviewed from time-to-time by the Government in consultation with RBI. Basis such review, the permission given to the bank concerned to undertake Government business could be potentially withdrawn.

10. A CG Ministry/ Department (in consultation with CGA) and a SG Department [in consultation with the respective Accountant General's (AG) Office], respectively, may engage any bank for implementation of any of the prefunded schemes without reference to RBI.

11. All ABs shall scrupulously comply with the instructions issued by Government (Central as well as States), without waiting for any further instructions from RBI. For queries related to such instructions, ABs shall take up directly with the respective Government. Similarly, for queries related to reporting to RBI, ABs shall take up with DGBA/ Central Accounts Section (CAS), Nagpur, RBI.

Chapter III: Payment of Agency Commission for Conduct of Government Business by ABs

A. Government transactions eligible for Agency Commission

12. Transactions related to the following Government business undertaken by ABs are eligible for agency commission paid by RBI:

- a. Revenue receipts on behalf of the CG / SGs
- b. All payment transactions, including pension payments in respect of CG / SGs, handled by ABs, except those which are pre-funded or where compensation is paid by the Governments to the ABs
- c. Any other item of work specifically advised by Reserve Bank as eligible for agency commission

13. Whenever ABs collect stamp duty through either physical mode or e-mode (challan based), they are eligible for agency commission, provided the ABs do not collect any charges from the public or receive remuneration from the SG for conduct of this work.

14. If the AB is engaged by the SG as Franking Vendor and it collects stamp duty from the public for franking the documents, it will not be eligible for agency commission, since the SG is paying commission to it. However, the AB, which collects the stamp duty paid by the Franking Vendor for credit to the Government Treasury through challan (in either physical or e-mode) for purchase of franking bar, would be eligible for agency commission since it is a regular payment of stamp duty as stated above.

B. Government transactions not eligible for Agency Commission

15. The following activities do not come under the purview of AB business and are, therefore, not eligible for agency commission:

- i. ABs paying their own tax liabilities through their own branches or through authorised branches of any other AB, including State Bank of India (SBI) or offices of RBI, wherever they do not have their own authorised direct tax collection branch, should indicate the same separately in the scrolls
- ii. Furnishing of Bank Guarantees (BGs) / Security Deposits, etc., through ABs by Government contractors/ suppliers, as they constitute banking transactions undertaken by banks for their customers
- iii. Short-term/ long-term borrowings of SGs, raised directly from financial institutions

and banks, as these transactions are not in the nature of general banking business. RBI pays the ABs separate remuneration, as agreed upon, for acting as agents for management of public debt

- iv. The banking business of Autonomous/ Statutory bodies/ Municipalities/ Companies/ Corporations/ Local Bodies
- v. Prefunded schemes, which may be implemented by a CG Ministry/ Department (in consultation with CGA) or a SG department
- vi. Transactions related to Gold Monetisation Scheme (GMS), 2015
- vii. Transactions arising out of Letter of Credit (LC) / BG opened by banks on behalf of Ministries/ Departments etc., as RBI reimburses the paid amount to the banks based on the mandate received from the Governments
- viii. Any other item of work specifically advised by RBI/ CG / SG as ineligible for agency commission

16. ABs shall meticulously follow the instructions issued by RBI from time-to-time regarding transactions which are not eligible for agency commission.

C. Transactions related to various Government Schemes

17. The ABs also undertake transactions related to Small Savings Schemes (SSS). The rates of agency commission for SSS transactions are decided and borne by GoI, while they are processed and settled at CAS. As per GoI Notification F. No. 7/10/2014-NS dated October 10, 2017, all PSBs, ICICI Bank Ltd., Axis Bank Ltd., and HDFC Bank Ltd., were authorised to receive subscriptions under National Savings Time Deposit Scheme, 1981, National Savings (Monthly Income Account) Scheme, 1987, National Savings Recurring Deposit Scheme, 1981, and National Savings Certificates (VIII Issue) Scheme, 1989, in addition to the existing SSS. All authorized ABs are paid agency commission for handling transactions relating to the above SSS as per the rates applicable for SSS decided by GoI. All the transactions, i.e., receipt, payment, penalty, interest, etc., shall be directly reported to the CAS on a daily basis similar to the transactions of Public Provident Fund (PPF) Scheme, in order to maintain uniformity in reporting, reconciliation and accounting. The settlement of commission on SSS is processed and settled at CAS. The ABs shall observe the rules and regulations of the respective schemes. Non-observance of rules and regulations will attract penal action. Pecuniary liabilities, if any, arising from such non-observance shall be borne entirely by the AB.

D. Reporting of transactions by ABs to RBI

18. After the operationalisation of NEFT 24x7 and RTGS 24x7, ABs authorised to collect Goods and Services Tax (GST), Customs and Central Excise Duties through Indian Customs Electronic Data Interchange (EDI) Gateway (ICEGATE), Direct Taxes under Tax Information Network (TIN) 2.0 channel, shall upload their luggage files in RBI's Quantum Payments Exchange (QPX)/ e-Kuber on all days except the Global Holidays. *Global Holidays are January 26, August 15, October 02, all non-working Saturdays, all Sundays, and any other day declared holiday by RBI for Government transactions.* These luggage files shall be uploaded in RBI's QPX/ e-Kuber at or before 1800 hours prescribed by the Office of Principal Chief Controller of Accounts (Pr. CCA), Central Board of Indirect Taxes & Customs (CBIC) and Central Board of Direct Taxes (CBDT). No extension in cut-off time beyond 1800 hours will be allowed for uploading of these luggage files in QPX/ e-Kuber.

19. The date of monthly balance transfer for SG transactions is fifth of the succeeding month. The SG transactions (electronic as well as physical mode) of previous month reported after fourth of the succeeding month and those pertaining to earlier months should be reported for accounting to RBI through a separate statement after confirmation by the competent authorities of the SG.

20. For CG transactions (electronic as well as physical mode), or any adjustments thereof, if reported after a gap of 90 days from the date of transaction, ABs must obtain prior approval from the respective Ministry/Department and submit the same to RBI separately at the time of reporting such transactions for settlement.

21. In order to maintain uniformity in reporting, reconciliation, and accounting, ABs shall report the GMS transactions, i.e., receipt, payment, penalty, interest, commission for mobilisation, handling charges, etc., directly through the Government account maintained for the purpose at CAS, on a daily basis as in the case of the transactions of Public Provident Fund (PPF) Scheme, 2019. Further, reimbursement of payments made by banks, relating to Medium Term and Long Term Government Deposit (MLTGD), will be made by CAS. Accordingly, banks shall make payment of interest to the depositors on the respective due dates and thereafter raise claim to Government through CAS.

E. Rates of Agency Commission

22. As per agreement with AB, RBI pays agency commission at rates determined by it. The rates applicable with effect from April 01, 2025, is given in **Table 1**:

Table 1: Agency Commission Rates

Sr. No.		Type of Transaction	Unit	Rate
a.	(i)	Receipts - Physical mode	Per transaction	₹ 40/-
	(ii)	Receipts - e-mode	Per transaction	₹ 12/-
b.		Pension Payments	Per transaction	₹ 80/-
c.		Payments other than Pension	Per ₹100 turnover	7 paise per ₹100/-

23. In this context, the 'Receipts-e-mode' transactions indicated at Sr. No. a.(ii) in **Table 1** above refers to those transactions involving remittance of funds from the remitter's bank account through internet banking/ debit card/ credit card/ UPI, etc., as well as such transactions which do not involve physical receipt of cash/ instruments at all. For example, challan generated electronically and submitted to AB, along with cash/ instrument, should be treated as transaction under physical mode.

F. Treating single challan as single transaction

24. A Challan Identification Number (CIN), generated after successful processing of a single Common Portal Identification Number (CPIN), under GST payment process, should be treated as a single transaction, even if multiple major head/ sub-major head/ minor head of accounts are credited. To illustrate, CGST, SGST, IGST and Cess, etc., paid through a single challan would constitute a single transaction. All such records clubbed under a single challan, i.e., CPIN, must be treated as a single transaction for the purpose of claiming agency commission (effective July 01, 2017).

25. Similarly, in case of transactions not covered under GST, a single challan (electronic or physical) should be treated as single transaction only and not as multiple transactions, even if the challan contains multiple major head/ sub-major head/ minor head of accounts that will get credited. Therefore, records clubbed under a single challan processed successfully must be treated as a single transaction for the purpose of claiming agency commission.

G. Procedure for claiming Agency Commission

26. ABs shall submit their claims for agency commission in the prescribed format (with GST details) to CAS in respect of CG transactions, and to the respective RO of RBI for SG transactions, respectively. However, agency commission claims related to GST receipts, direct tax collection under TIN 2.0, and of indirect taxes collection through ICEGATE reported to Mumbai RO, RBI, will be settled at Mumbai RO. Accordingly, all authorized ABs shall submit their agency commission claims pertaining to these receipt transactions to Mumbai RO. The agency commission claim for CG transactions reported to CAS will continue to be settled at CAS.

27. ABs shall furnish their claims for agency commission to RBI within 60 calendar days, from the end of the quarter in which the transactions were conducted. If banks fail to furnish claims within the stipulated period, any subsequent submissions to the RBI must be accompanied by a formal explanation, detailing the reasons for the delay.

28. All ABs shall submit agency commission claims related to Special Deposit Scheme (SDS) transactions to CAS on a quarterly basis. These claims will be settled at CAS. However, ABs shall continue to claim reimbursement of both the interest paid and the withdrawals from the respective ROs of RBI in which the mirror accounts are maintained.

29. ABs shall ensure that agency commission claims are submitted in prescribed format and are accurate.

H. Documents required to be submitted by ABs for claiming Agency Commission

30. The format for claiming agency commission by ABs is given in **Annex 2**. The formats for certificates to be signed by the branch officials and Chartered Accountants / Cost Accountants are given in **Annex 2A** and **Annex 2B**, respectively. These certificates are in addition to the usual certificate from Executive Director (ED) / Chief General Manager (CGM)-in-charge of Government business, to the effect that there are no pension arrears to be credited / delays in crediting regular pension / arrears thereof.

31. The agency commission claims can also be certified by Concurrent Auditor / Statutory Auditor. In addition to this, ABs shall ensure that their internal inspectors/ auditors, during the course of their inspection/ audit, verify the agency commission claims submitted by their branches and confirm their accuracy.

32. ABs shall submit the agency commission claims, including applicable GST amount, as per prescribed agency commission rates, to respective ROs/ CAS as per extant instructions of RBI. TDS on GST shall be deducted as applicable by RBI at the time of paying agency commission in accordance with the Government instructions.

I. Clarifications on claiming of Agency Commission

33. ABs would be eligible to claim agency commission for pension transactions at the rate prescribed for pension payment transactions only when the entire work related to disbursement of pension, including pension calculation, is attended to by them. If the work relating to pension calculations, etc., is attended to by the respective Government department/ Treasury, and the bank only credits the pension to the pensioner's account maintained with it by a single debit to Government account, such transactions are categorised as 'other than pension payment' transactions. ABs would, therefore, be eligible for agency commission at rates prescribed for 'other than pension payment' transactions.

34. The number of transactions eligible for agency commission should not exceed 14 per pensioner per Financial Year. This includes one monthly credit for payment of net pension and a maximum of two per year for payment of arrears on account of increase in Dearness Relief, if applicable. Cases involving payment of arrears on account of late start/ restart of pension qualifies as a single transaction for claiming of agency commission. In other words, any payment of arrears on account of late start/ restart of pension should be treated as a single credit transaction and not as separate monthly credits.

35. Agency commission is payable to an AB at the full rate provided the transactions are handled by the bank at all stages. However, wherever the work is shared between two banks the agency commission is shared between the banks in the proportion of 75%:25%. Thus, broadly, the agency commission is payable to the ABs as detailed below:

- (a) At the full rate, in cases where the transactions are handled by the bank at all stages, i.e., up to the stage of dispatch of scrolls and challans/ cheques to the Pay and Accounts Offices, and treasuries/sub-treasuries
- (b) At 75% of the applicable rate, where the dealing branch is required to account for the transaction by passing on the scrolls and documents to the local/ nearest

branch of RBI or to any AB conducting Government business

- (c) At 25% of the applicable rate, in case AB branch receives the scrolls and documents from dealing branches of other ABs and is responsible for accounting of these transactions and dispatching of the scrolls and documents to the Pay and Accounts Offices, Treasuries, etc.

36. All ABs should settle their agency transactions for both funds and agency commission directly with the respective RO of RBI instead of routing them through any other AB that acts as an aggregator in certain cases. Similarly, payments made by ABs, on behalf of SGs should be directly settled with the respective RO of RBI. Agency transaction details/ scrolls shall be forwarded directly by individual AB to the respective SG/ Treasury. This arrangement for settlement of SG funds on day-to-day basis (receipts and payments) directly with RBI is with effect from January 01, 2018.

37. In many states AB collects e-stamp/ e-court/ e-registration fees on behalf of entity engaged for the service by SG (such as Stockholding Corporation of India Ltd), and subsequently, reports these transactions to the respective RO of RBI for settlement, based on the mandate provided by Government. As stated above, transactions which do not involve physical receipt of cash/ instruments should be treated as 'Receipts-e-mode'. ABs should not claim commission for such transactions, as applicable for physical receipts, on the basis that mandate to transfer the amount to Government was submitted physically.

J. Penal interest for wrong claims of Agency Commission

38. As per the agreement between the AB and the RBI, violation or non-compliance of instructions issued by Government and/or RBI shall attract imposition of penalty. ABs will be liable to pay penal interest at Bank Rate (as notified by RBI) plus 2% for any settled wrong agency commission claims.

Chapter IV: Oversight of Government Business in ABs

39. In terms of the agency agreement entered with ABs, the RBI carries out periodical inspection of conduct of Government business. The system of oversight of Government business includes, among others, the following:

- (a) The scope of the inspection covers Government business conducted at various branches, Central Pension Processing Centres (CPPCs), as well as the Head Offices of ABs. Offices/ branches will be advised of action points, if any, arising out of inspection with a copy to its controlling office
- (b) Comments in respect of action points marked as 'Major' should be submitted to the ROs of RBI, under which the branch/ office falls, within 30 days from the date of communication of the action points
- (c) For 'Other' action points, necessary rectification should be ensured by the bank itself. The quality and sustenance of compliance to such 'other' action points should also be examined and commented upon by internal audit
- (d) As a part of offsite monitoring of Government business, ABs should report details of their Government business as per the formats enclosed in **Annex 3** and **Annex 4**. The completed statements should be e-mailed to dgbaomc@rbi.org.in, with a copy to the RO of RBI under whose jurisdiction the bank falls. A list of ABs and the respective RO of the RBI under which it falls is given in **Annex 5**
- (e) Periodical interactions with senior executives of ABs will be held by the ROs, except SBI, for which the meetings will be held at DGBA, CO, RBI. The purpose of the meetings would be to maintain a line of communication with the AB, and gather first-hand information and feedback on Government business conducted by AB. The agenda for discussion would broadly depend on the bank's size and nature of Government business handled. The discussions would, at a minimum, include the following:
 - (i) Developments in the AB's Government business since previous inspection;
 - (ii) Sustenance of compliance with inspection findings;
 - (iii) Progress in examination of large frauds relating to Government business;
 - (iv) Position with regard to complaints;
 - (v) Pension payment related issues;
 - (vi) Issues raised by CG and SG departments such as delays in remittance of Government funds, penalties imposed, etc.
 - (vii) Issues raised by the Office of Comptroller and Auditor General (C&AG) and other Government agencies in their periodical audit/inspection

- reports, and
- (viii) Other related issues

40. **Systems and controls for conduct of Government Banking**: In addition to the existing instructions, ABs shall ensure that internal/ concurrent audit at bank branches verifies whether Government business is being conducted as per rules and regulations prescribed by Government/ RBI, including examination of, among other things, agency commission claims, pension payments, etc. A checklist shall be provided to the inspecting officers/auditors, which shall, at a minimum, include the illustrative items given at **Annex 6**.

Chapter V - Repeal and other provisions

A. Repeal and saving

41. With the issue of these Directions, the existing Directions, instructions, and guidelines for Government Business stand repealed, as given in **Annex 7**. The instructions and guidelines already repealed shall continue to remain repealed.

42. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these Directions, instructions, or guidelines shall not in any way prejudicially affect:

- (a) any right, obligation or liability acquired, accrued, or incurred thereunder;
- (b) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder; and
- (c) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture, or punishment may be imposed as if those Directions, instructions, or guidelines had not been repealed.

B. Application of other laws not barred

43. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations or Directions, for the time being in force.

C. Interpretations

44. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the Reserve Bank may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the Reserve Bank shall be final and binding.

(Sivakumar Bose)

Chief General Manager

List of ABs appointed to carry out Government banking business

S. No.	Agency Bank
1	Axis Bank Ltd.
2	Bandhan Bank Ltd.
3	Bank of Baroda
4	Bank of India
5	Bank of Maharashtra
6	Canara Bank
7	Central Bank of India
8	City Union Bank Ltd.
9	CSB Bank Ltd.
10	DBS Bank Ltd.
11	DCB Bank Ltd.
12	Dhanlaxmi Bank Ltd.
13	Federal Bank Ltd.
14	HDFC Bank Ltd.
15	ICICI Bank Ltd.
16	IDBI Bank Ltd.
17	IDFC FIRST Bank Ltd.
18	Indian Bank
19	Indian Overseas Bank
20	IndusInd Bank Ltd.
21	Jammu & Kashmir Bank Ltd.
22	Karnataka Bank Ltd.
23	Karur Vysya Bank Ltd.
24	Kotak Mahindra Bank Ltd.
25	Punjab & Sind Bank
26	Punjab National Bank
27	RBL Bank Ltd.
28	South Indian Bank Ltd.
29	State Bank of India
30	Tamilnad Mercantile Bank Ltd.
31	UCO Bank
32	Union Bank of India
33	YES Bank Ltd.

Formats for claiming agency commission from RBI

Agency Commission Claim for the Quarter ended

PART 1- Tax Invoice**

Invoice / Bill No:

Date:

Reserve Bank of India (Recipient of Services)	Name of the Agency Bank (Supplier of services):			
Address:	Address of Registered Office of the Agency Bank submitting the claim: State: State Code:			
GSTN:	GSTN:			
PAN:	PAN:			
Place of Supply State Name: State Code:				
PART 2- DETAILS OF CLAIMS				
Particulars	No. of transactions		Amount in ₹	
	Physical	Electronic	Physical	Electronic
1. Gross Receipts				
2. Less:				
(a) Receipts representing Bank's own tax liability **				
(b) TDS on various other items under the IT Act				
(c) Transactions under Schemes / Special Schemes, if any, formulated by Central/State Government for senior citizens other than Senior Citizens' Savings Scheme, 2004				

(d) Error scroll transactions				
(e) Other ineligible items (like receipts on account of repayments of long term borrowings of State Governments from FIs/banks, Letter of Credit (LC) transactions on behalf of Ministries / Departments, receipts under pension.)				
3. Net Receipts				
4. Payments other than pension				
5. Less: (a) Schemes/Special schemes, if any, formulated by Central/State Government for senior citizens other than Senior Citizens' Savings Scheme, 2004 (b) Error scroll transactions c) Other ineligible items such as payments under LC transactions, etc.				
6. Net payments other than pension				
7. Total pension payments				
8. Less: (a) Payments under Pension Schemes, other than those meant for Central/State Government employees (b) Error scroll transactions				
9. Net pension payments				
10. Total (3 + 6 + 9)	Beginning of Quarter		End of Quarter	
Number of pension accounts				

****Agency Banks (ABs) paying their own tax liabilities through their own branches or through authorised branches of any other AB (including SBI) wherever they do not have their own authorised direct tax collection branches should indicate the same separately in the scroll and such transactions will not be eligible for payment of agency commission.**

Total agency commission claimed		
Type of transaction	Number of transactions	Amount (₹)
Physical Receipts @ ₹40/-per transaction		
E-receipts @ ₹12/- per transaction		
Pension payments @ ₹80/-per transaction		
Payments other than pension @ 7 paise per ₹100 turnover		
Total		

Particulars of Supply	Rate	Amount in ₹
Service Description: Undertaking Government banking transaction HSN/SAC Code: 997119 HAS/SAC Code Description: <i>Other financial services (except investment banking, insurance services and pension services)</i>		A
	9	9
CGST (%)	9	9
SGST/UTGST (%)	Or	Or
Or	18	18
IGST (%)		
Total		B
INR of (B) Only (in words)		

Signature, name, designation of authorized official

Certificate by Agency Bank (AB)

Certified that the amount of ₹..... (Rupees.....) claimed as agency commission has been arrived at correctly taking into account the number of transactions in respect of 'receipts' and 'pension payments' and the amount of transaction in respect of 'payments other than pension' as recorded in the daily scrolls of Government transactions furnished to the accounting authorities of the Central/ State Governments / RBI and other records available in the bank and that only eligible items as specified in 'RBI Master Direction on 'Conduct of Government Business by Agency Banks (ABs) – Payment of Agency Commission and Oversight of ABs, 2026', as amended from time to time, have been considered while arriving at the said amount. It is further certified that agency commission claims for transactions included in the current claim has been made only once.

2. We also certify that the collections of Government receipts (both tax and non-tax) on behalf of Centre/State Governments have been duly scrolled and funds remitted to RBI and no transaction is pending for submission of scroll with the bank pertaining to the period for which agency commission is being claimed.

3. Further, we certify that the month-wise breakup of eligible pensioners' account available with us is as per the table below, and the number of receipt transactions for which agency commission is claimed is exclusive of the transactions pertaining to own tax liabilities of the bank and the taxes deducted at source under various items of the Income Tax Act.

Sr. No.	Month	No. of Pensioners
1		
2		
3		

Signature, name and designation of the authorized signatory and seal of the bank

Certificate By Chartered Accountant or Cost Accountant

Certified that we have examined the records relating to the Government transactions carried out by the branch and that the amount of ₹..... (Rupees.....) claimed as agency commission has been audited and found correct taking into account the number of transactions in respect of 'receipts' and 'pension payments', and the value of transactions in respect of 'payments other than pension' as recorded in the books of the bank and in the daily scrolls of Government transactions furnished to the accounting authorities of the Central/ State Governments /RBI and other records available at the branch. It is further certified that agency commission claims for transactions included in the current claim has been made only once.

2. It has also been verified that the collections of Government receipts (both tax and non-tax) on behalf of Centre/State Governments have been duly scrolled and funds remitted to RBI and no transaction is pending for submission of scroll with the bank pertaining to the period for which agency commission is being claimed.

3. It is also certified that the month-wise breakup of eligible pensioners' account available with the bank is as per the table below, and the agency commission as aforesaid has been arrived at on the basis of only eligible transactions as per the extant instructions of RBI and that the receipt transactions are **exclusive** of the transactions pertaining to all tax liabilities of the bank.

Sr. No.	Month	No. of Pensioners
1		
2		
3		

Signature, Name, Registration No. and address of the Chartered Accountant or Cost Accountant

Format of the annual return to be submitted by Agency Bank (ABs)

Annual Return

Name of the Agency Bank:

Date of Report:

Part A: Number of Authorised Branches (as on March 31)

Government/ Department	Number of Authorised Branches			
	Beginning of year	Additions	Deletions	End of year
1. Central Government				
Railways				
Defence				
Post				
Telecom				
Other Ministries				
2. SGs/Union Territories				
a.				
b.				
c.				
d.				
e.				
3. Small Savings Schemes (PPF, SSY, KVP, SCSS)				

Part B: Number of Focal Point Branches (as on March 31)

Government/ Department	Number of Focal Point Branches			
	Beginning of year	Additions	Deletions	End of year
1. Central Government				
CBDT				
CBIC				
Railways				
Defence				
Post				
Telecom				
Ministry 1				
Ministry 2				
2. SGs/Union Territories				
a.				
b.				
c.				
d.				
e.				

Part C: Details of CPPCs (as on March 31)

No.	Address and Contact Details	Date of Opening	Central Government		State/ Union Territories	
			Name of Department	Number of Pensioners	Name of State/UT	Number of Pensioners
1.						
2.						
3.						
4.						
5.						

Part D: Pension Complaints (as on March 31)

Government/ Department	Number of pension complaints			
	Opening	Additions	Closed	Pending
1. Central Government				
Railways				
Defence				
Post				
Telecom				
Other Ministries				
2. State Governments / Union Territories				
a.				
b.				
c.				
Total				

Part E: Penalties imposed by Central/State Governments (Amount -₹ in lakh)

Government/ Department	Number of instances	Amount	Penalties pending payment	
			No. of instances	Amount
1. Central Government				
Railways				
Defence				
Post				
Telecom				
Other Ministries				
2. State Governments/ Union Territories				
a.				
b.				
Total				
If penalties are pending to be paid, give reasons therefor:				

Quarterly Returns								
Name of the Agency Bank:								
Quarter and Financial Year:								
Part A: Details of Government Receipts								
Government/ Department	No. of transactions				Value (Rs. lakh)			
	Electronic		Manual		Electronic		Manual	
	Current Qtr	Previous Qtr	Current Qtr	Previous Qtr	Current Qtr	Previous Qtr	Current Qtr	Previous Qtr
1. Central Government Business								
CBDT								
CBIC								
Railways								
Customs Duty								
Defence								
Post								
Telecom								
Ministry 1								
Ministry 2								
ICEGATE								
GST								
Total								
2. State Governments								
State 1: Comm. Taxes								
Other receipts								
State 2: Comm. Taxes								
Other receipts								

State 3: Comm. Taxes								
Other receipts								
Total								
Part B: Details of Government Payments (other than pension)								
Governm ent/ Departme nt	No. of transactions				Value (Rs. lakh)			
	Electronic		Manual		Electronic		Manual	
	Curre nt Qtr	Previo us Qtr	Curre nt Qtr	Previo us Qtr	Curre nt Qtr	Previo us Qtr	Curre nt Qtr	Previo us Qtr
1. Central Government Business								
CBDT								
CBIC								
Railways								
Defence								
Post								
Telecom								
Ministry 1								
Ministry 2								
Total								
2. State Governments /Union Territories								
a.								
b.								
c.								
d.								
Total								
Part C: Details of Government Pension Payments								
Governm ent/ Departme nt	No. of pensioners		No. of transactions		Amount paid (Rs. Lakh)			
	Curre nt Qtr	Previo us Qtr	Curre nt Qtr	Previo us Qtr	Curre nt Qtr	Previo us Qtr		
1. Central Government								
Railways								
Defence								
Post								
Telecom								
Other Ministries								
Total								

2. State Governments /Union Territories						
a.						
b.						
c.						
d.						
Total						

Agency Banks and Corresponding RBI Regional Offices

S.No.	Agency Bank	Location of Head Office/ Government Business Department of Agency Bank	RBI Regional Office
1	Axis Bank Ltd.	Mumbai	Mumbai
2	Bandhan Bank Ltd.	New Delhi	New Delhi
3	Bank of Baroda	Gurugram	New Delhi
4	Bank of India	New Delhi	New Delhi
5	Bank of Maharashtra	Pune	Belapur
6	Canara Bank	New Delhi	New Delhi
7	Central Bank of India	Mumbai	Mumbai
8	City Union Bank Ltd.	Kumbakonam	Chennai
9	CSB Bank Ltd.	Thrissur	Thiruvananthapuram
10	DBS Bank Ltd.	Gurugram	New Delhi
11	DCB Bank Ltd.	Mumbai	Mumbai
12	Dhanlaxmi Bank Ltd.	Thrissur	Thiruvananthapuram
13	Federal Bank Ltd.	Aluva	Thiruvananthapuram
14	HDFC Bank Ltd.	Mumbai	Mumbai
15	ICICI Bank Ltd.	Mumbai	Mumbai
16	IDBI Bank Ltd.	Mumbai	Mumbai
17	IDFC FIRST Bank Ltd.	Mumbai	Mumbai
18	Indian Bank	Chennai	Chennai
19	Indian Overseas Bank	Chennai	Chennai
20	IndusInd Bank Ltd.	Gurugram	New Delhi
21	Jammu & Kashmir Bank Ltd.	Srinagar	Jammu
22	Karnataka Bank Ltd.	Bengaluru	Bengaluru
23	Karur Vysya Bank Ltd.	Karur	Chennai
24	Kotak Mahindra Bank Ltd.	Mumbai	Mumbai

S.No.	Agency Bank	Location of Head Office/ Government Business Department of Agency Bank	RBI Regional Office
25	Punjab & Sind Bank	New Delhi	New Delhi
26	Punjab National Bank	New Delhi	New Delhi
27	RBL Bank Ltd.	New Delhi	New Delhi
28	South Indian Bank Ltd.	Ernakulam	Thiruvananthapuram
29	State Bank of India	Navi Mumbai	Belapur
30	Tamilnad Mercantile Bank Ltd.	Tuticorin	Chennai
31	UCO Bank	Kolkata	Kolkata
32	Union Bank of India	Mumbai	New Delhi
33	YES Bank Ltd.	Mumbai	Mumbai

Checklist relating to Government Business for internal / concurrent audit**Part A: Agency commission claims**

Internal inspectors/auditors shall verify the agency commission claims submitted by branches and confirm their accuracy during the course of their inspection/audit. The following shall be specifically examined during the course of internal/concurrent audit at Agency Bank (AB) branches:

1. The system in place to arrive at total number of transactions is robust and free of errors
2. Categorisation of different types of transactions (physical/electronic receipts and pension/non-pension payments) are in accordance with RBI instructions
3. Correctness of number of transactions reported in agency commission claims
4. Whether agency commission has been claimed on error scroll transactions. (Banks are not eligible for commission on error scrolls as the commission on the original transaction is being paid)
5. Whether proper records are maintained at branches as regards Government business and agency commission claims (wherever the branch has a role in making such claims)
6. Whether the entries in the registers/printouts relating to agency commission claims are properly authenticated

Part B: Pension / Government Business related issues

Internal inspections should assess branch performance in servicing pensioner customers. In this regard, the following shall be ensured:

1. A specific questionnaire covering all aspects of pension payment shall be devised for use during inspection of pension paying branches
2. Inspecting officers shall also, during inspections, call up pensioners at random and enquire about their satisfaction with pension-related services

3. A detailed checklist relating to pension payments/Government business shall be given by banks to internal auditors/inspectors in order to adhere to the recommendations of the Prabhakar Rao Committee, constituted by the Gol, relating to pension payments/Government business. These include the following:

- (a) Whether there is delay in payment of pension, revision of pension, revision in dearness relief, etc
- (b) Whether the branch manager conducts structured interaction with a cross section of pensioners serviced at the branch, on quarterly basis, where the number of pensioners of all Governments and departments exceeds a fixed number, say, 100 or 200
- (c) Whether nominations have been obtained for all pension accounts
- (d) Whether pension accounts have been converted into joint accounts wherever applicable
- (e) Whether the bank branch has an effective complaint redressal mechanism and the complaints of pensioners are attended promptly and their grievances redressed expeditiously
- (f) Whether the pension is credited to pensioner's account during the last four working days of the month except for the month of March for which pension is to be credited on or after first working day of April
- (g) Whether the pension paying branch obtains Life Certificate/ Non employment certificate/ Employment Certificate from the pensioners in the month of November every year
- (h) Whether pension paying branches deduct income tax at source from pension payments wherever applicable
- (i) Whether paper tokens in acknowledgement of cheques presented are invariably given by the tax collecting branches.
- (j) Whether the challans are stamped giving bank's BSR code and Challan Identification Number (CIN) clearly
- (k) Whether the stamped challans are kept in the custody of bank's staff and handed over to the concerned taxpayer only on production of the paper token

List of Circulars consolidated by the Reserve Bank in this Master Direction and are hereby repealed

S.No.	Circular Number	Date of Issue	Subject
1	DGBA.GAD.No.H-190/ 31.12.010/2003-04	September 14, 2003	TDS on Agency Commission will not be effected by RBI
2	DGBA.GAD.No.H-41/ 42.02.001/2003-04	July 22, 2004	Scheme for acceptance of Income and other direct taxes (Central Government) and Profession tax/other taxes of State Governments through Agency Banks.
3	DGBA.GAD.No.H-1225- 1258/42.02.001/ 2004-05	October 27, 2004	Scheme for acceptance of Income and other direct taxes (Central Government) and Profession tax/other taxes of SGs through Agency Banks
4	DGBA.GAD.No.H-2625- 2658/31.12.010(C)/2004 -05	December 17, 2004	Remuneration for conduct of Government business by Agency Banks – Payment of Turnover Commission
5	DGBA.GAD.No.H-3568- 3601/ 42.01.001/ 2004- 05	January 13, 2005	Scheme for acceptance of Income and other direct taxes (Central Government) and Profession tax/other taxes of SGs through Agency Banks
6	DGBA.GAD.No.H-4530/ 31.12.010(C)/ 2005-06	October 27, 2005	Agency Commission claims submitted by Agency Banks – common irregularities
7	DGBA.GAD.No.H- 11136/ 31.12.010(C)/ 2005-06	January 31, 2006	Agency Commission claims submitted by Agency Banks – common irregularities
8	DGBA.GAD.No.H- 13118/ 31.12.010(C)/ 2005-06	March 2, 2006	Agency Commission claims submitted by Agency Banks – common irregularities
9	DGBA.GAD.No.H.13034 / 31.12.010(C)/ 2006-07	February 27, 2007	Agency Commission on pension transactions
10	DGBA.GAD.H-1800/ 31.12.010(C)/2009-10	August 21, 2009	Abnormal increase in agency commission claims

S.No.	Circular Number	Date of Issue	Subject
11	DGBA.GAD.H-3903/ 31.12.010(C)/2009-10	November 11, 2009	Agency Commission claims to be certified by the External Auditor / Chartered Accountant
12	DGBA.GAD.No.H.160/ 31.12.010(C)/ 2010-11	July 7,2010	Agency Commission claims to be certified by the External Auditor
13	DGBA.GAD.No.H-670/ 31.12.010(C)/ 2010-11	March 24, 2011	TDS on Agency Commission will not be effected by RBI
14	DGBA.GAD.No.H-8852/ 31.12.010(C)/ 2010-11	June 21, 2011	Payment of agency commission on collection of Registration fee and Stamp Duty
15	DGBA.GAD.No.7575/31. 12.011/2011-12	May 22, 2012	Rationalisation and Revision of Agency Commission Payable to Banks on Government Transactions
16	DGBA.GAD.No.H2529/ 31.12.010(C)/2012-13	October 31, 2012	Conduct of Government Business by Agency Banks – Payment of Agency Commission – Revised Format for claiming agency commission by banks-Implementation of Working Group recommendations
17	DGBA.GAD.No.H5029/42.0 1.033/2011-12	January 31, 2012	Government Agency Business Arrangement – Appointment of Private Sector Banks as Agency Banks of Reserve Bank of India (RBI)
18	DGBA.GAD.No.- 3147/44.01.001/2015-16	April 07, 2016	Oversight of Government Business in Agency Banks
19	DGBA.GAD.No.2294/15. 04.001/2016-17	March 6, 2017	Gold Monetisation Scheme
20	DGBA.GAD.No.2646/31.02 .007/2016-17	April 07, 2017	Systems and Controls for Conduct of Government Banking
21	DGBA.GBD.No.3333/31. 02.007/2016-17	June 22, 2017	Payment of agency commission for government receipts
22	DGBA.GAD.No.1007/15.04 .001/2017-18	October 17, 2017	Gold Monetisation Scheme, 2015
23	DGBA.GBD.No.1324/31. 02.007/2017-18	November 16, 2017	Agency Commission for GST receipt transactions

S.No.	Circular Number	Date of Issue	Subject
24	DGBA.GBD.No.1498/31.02.007/2017-18	December 7, 2017	Settlement of Agency transactions in certain cases (for Funds and Agency Commission) directly from RBI
25	DGBA.GBD.No.1972/15.02.005/2017-18	February 01, 2018	Small Savings Schemes- Payment of Agency Commission
26	DGBA.GBD.No.2294/15.01.001/2017-18	March 15, 2018	Agency Commission payable to banks for operating Special Deposit Scheme (SDS)
27	DGBA.GBD.No.1590/44.02.001/2018-19	December 24, 2018	Payment of Agency commission to Agency Banks – Applicability of TDS provision under GST.
28	DGBA.GBD.No.1870/44.02.001/2018-19	January 23, 2019	Payment of Agency commission to Agency Banks – Applicability of TDS provision under GST.
29	DGBA.GBD.No.648/31.12.007/2019-20	September 25, 2019	Agency Commission- Furnishing reconciliation certificate
30	DGBA.GBD.No.S77/42.01.033/2021-22	May 10, 2021	Government Agency Business Arrangement – Appointment of Scheduled Private Sector Banks as Agency Banks of Reserve Bank of India (RBI)
31	CO.DGBA.GBD.No.S1112/42-01-033/2021-2022	December 15, 2021	Government Agency Business Arrangement – Appointment of Scheduled Private Sector Banks as Agency Banks of Reserve Bank of India (RBI)
32	CO.DGBA.GBD.No.S957/43-33-005/2022-2023	November 14, 2022	Agency Commission for Direct Tax collection under TIN 2.0 regime
33	CO.DGBA.GBD.No.S295/31-12-010/2023-2024	June 14, 2023	Agency Commission for collection of Indirect taxes through ICEGATE payment gateway
34	CO.DGBA.GBD.No.S1234/31-12-010/2023-2024	March 13, 2024	Cut-off time for uploading of GST, ICEGATE and TIN 2.0 luggage files
35	RBI/2025-26/06 CO.DGBA.GBD.No.S2/31-12-010/2025-2026	April 01, 2025	Master Circular on Conduct of Government Business by Agency Banks - Payment of

S.No.	Circular Number	Date of Issue	Subject
			Agency Commission
36	CO.DGBA.GBD.No.S168/3 1-12-011/2025-2026	June 16, 2025	Review of instructions issued vide Master Circular on Conduct of Government Business by Agency Banks - Payment of Agency Commission